CHAPTER-3 CHANGE IN PROFIT SHARING RATIO AMONG EXISTING PARTNERS

Reconstitution of a Partnership Firm:

Partnership is the result of an agreement between persons for sharing the profits of a business. Any change in the partnership agreement brings to an end the existing agreement and a new agreement comes into force. The change in the agreement results in changes in the relationship among the partners. In such a case, although the firm continues, it amounts to the reconstitution of the partnership firm.

Reconstitution of the firm may happen in the following circumstances:

1. **Change in the profit-sharing ratio among the existing partners**: For example, A and B are partners in a firm sharing profits in the ratio of 2:1. In future, they decide to share profits in the ratio of 3:1. It amounts to reconstitution of the firm.

2. **Admission of a new partner**: For example, C and D are partners sharing profits equally. On April 1, 2020, they decided to admit E as a new partner with 1/4th share. It results into reconstitution of the firm.

3. **Retirement of an existing partner**: For example, A, B and C are partners sharing profits in the ratio of 1:2:3. C Retires from the firm on March 31, 2020. It amounts to reconstitution of the firm.

4. **Death of a Partner**: For example, P, Q and R are partners in a firm sharing profits in the ratio of 4:3:2. R dies on March 31, 2020. P and Q decide to share future profits equally. It also amounts to reconstitution of the firm.

5. **Amalgamation of two partnership firms**: For example, A and B are partners in a firm sharing profits in the ratio of 2:1. They amalgamate their firm with the firm of C and D who are sharing profits in the ratio of 3:1. The new ratios for A, B, C and D are agreed at 2:1:3:1. It amounts to reconstitution of the firm of A and B on the one hand and the firm C and D on the other hand and a new reconstituted firm is formed.

Change in Profit Sharing Ratio Among the Existing Partners:

Sometimes the existing partners decide to change their profit-sharing ratio. The reason for such a change may be a change in capital contribution or in active participation in management. As a result of change in profit sharing ratio, one or more of the existing partners may acquire extra share in profits at the cost of one or more of other partners.
In such a case, in order to maintain equity among the partners, it is necessary to make adjustments for goodwill, revaluation of assets and liabilities, reserves, accumulated profits and losses etc. The partner, who gains, must compensate the partner who loses due to change in profit- sharing ratio.

These adjustments are similar to those made at the time of admission or retirement of a partner.

Adjustments required at the time of change in the profit-sharing ratio:
Various matters that need to be considered at the time of change in profit sharing ratio are:

1. Determination of Sacrificing Ratio and Gaining Ratio
2. Accounting Treatment for Goodwill
3. Accounting Treatment of Reserves and Accumulated Profits
4. Accounting for Revaluation of Assets and Liabilities
5. Adjustment of Capitals

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I. Determination of sacrificing ratio and gaining ratio

When the partners decide to change their profit-sharing ratio, then the new ratio may result in gain to some partner(s) and loss to some others at the same time. So, at the time of change in profit-sharing ratio, it is important to determine new profit-sharing ratio, sacrificing ratio and gaining ratio.

Some Important Terms:

1. **Old Ratio**: The ratio in which partners were sharing profits and losses before reconstitution of the firm is known as old ratio.

2. **Sacrificing Partners**: The partners whose share has decreased due to change in profit-sharing ratio are known as Sacrificing Partners.

3. **Gaining Partners**: The partners whose share has increased due to change in profit-sharing ratio are known as Gaining Partners.

4. **Sacrificing Ratio**: The ratio in which the partner(s) surrender their shares of profit in favour of other partner(s), is known as sacrificing ratio.
5. Sacrifice = Old Share - New Share

6. **Gaining Ratio**: The ratio in which the partner(s) acquire the share from other partner(s), is known as gaining ratio.

   Gain = New Share - Old Share

7. **New Profit-Sharing Ratio**: It is the ratio in which all the partners share the future profits and losses.

II. Accounting treatment of goodwill

When the partners decide to change their profit – sharing ratio, then the gaining partner should compensate the sacrificing partner by paying the proportionate amount of goodwill in the gaining ratio. It must be noted that no Goodwill account can appear in the books unless money or money's worth has been paid to acquire it. Therefore, the partners cannot create Goodwill account; they can only adjust the loss that some partner(s) may suffer due to any change in their respective shares in the Goodwill of the firm.

Amount of Compensation Payable = Value of Firm's Goodwill x Share of Profit Gained

The following entry is passed to adjust goodwill:

1. In case of Fluctuating Capitals:

Gaining Partners' Capital A/c	Dr.	
To Sacrificing Partners' Capital A/c		

2. In case of Fixed Capitals:

Gaining Partners' Current A/c	Dr.	
To Sacrificing Partners' Current A/c		

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III. Accounting treatment of accumulated profits and reserves

If the firm is having Reserves or/and Accumulated profits in the Balance Sheet at the time of change in profit – sharing ratio, then there can be "Two Accounting Treatments":

A. When Reserves are not to be shown in future in the new Balance Sheet

In such case, reserves, accumulated profits or losses will be distributed among the existing partners in their old ratio and will not be shown in the new Balance Sheet. They are transferred to Partners' Capital Accounts (in case of fluctuating capitals) or Current Accounts (in case of fixed capitals) in their old profit – sharing ratio.

(i) For Transfer of Reserves and Accumulated Profits

General Reserve/Other Reserve A/c	Dr.
Profit and Loss A/c	Dr.
Workmen Compensation Reserve A/c	Dr.
Investment Fluctuation Reserve A/c	Dr.
To Partners' Capital/Current A/c (In Old Ratio)	

(ii) For Transfer to Accumulated Losses:

Partners' Capital/Current A/c (In Old Ratio)	Dr.
To Profit and Loss A/c	
To Deferred Revenue Expenditure A/c	

B. When Reserves are to be shown as such in future in the new Balance Sheet

In such case, reserves, accumulated profits or losses will continue to appear in the balance sheet post change in PSR among partners.
The gaining partners shall compensate the sacrificing partners for adjustment of accumulated reserves and losses.

Gaining Partners' Current A/c	Dr.
To Sacrificing Partners' Current A/c	

Treatment of workmen compensation reserve and investment fluctuation fund has been discussed in detail in next CHAPTER of the book.

IV. Revaluation of assets and reassessment of liabilities

When there is a change in the profit – sharing ratio of existing partners, then the assets and liabilities of the firm are revalued. They are revalued because if there is any change (increase or decrease) in the value of assets and liabilities, then such change belongs to the period prior to change in PSR. Hence, any profit or loss arising on such revaluation must be shared by the old partners in their old profit – sharing ratio.

The assets and liabilities are revalued due to the following reasons:

1. To show the assets and liabilities at their current/correct values.
2. To ensure that no partner is at an advantage or disadvantage due to change in the value of assets and liabilities.
3. To record unrecorded assets and liabilities at their proper values, if any.

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Two Methods for Revaluation of Assets and Liabilities Revaluation of assets and liabilities may be given effect in two different ways:

A. When revised values are to be recorded in the books.

When assets are to be recorded at their revised values, then revaluation of assets and liabilities is done with the help of an account titled 'Revaluation Account' or 'Profit & Loss Adjustment A/c'.

Dr. Revaluation A/c Cr.

Particulars	Amount ₹	Particulars	Amount ₹
To Decrease in asset	XX	By Increase in Asset	XX
To Increase in Liability	XX	By Decrease in Liability	XX
To Unrecorded Liability	XX	By Unrecorded Asset	XX
To Profits transferred in Old PSR:*		By Loss transferred in Old PSR:*	
A ---		A ---	
B ---	XX	B ---	XX
Total:	**XXXX**	**Total:**	**XXXX**

* Any one

B. When revised values are not to be recorded in the books.

The assets and liabilities continue to exist at the old values, however the difference in revised values and old values is recorded through memorandum revaluation account. This account is not a part of book keeping and accounting process and is made in separate set of books only for the purpose of making adjustment in partners' capital accounts.

The memorandum revaluation has two parts. In the first part the same treatment is done just like revaluation account. In the second part the reverse treatment is given to nullify the effects of revaluation so that the values of assets and liabilities remain unaltered.

However, where in the first part the profit/loss is distributed among old partners in their old PSR; in the second part the loss/profit is distributed among old partners in their new PSR.

Dr. Memorandum Revaluation A/c Cr.

Particulars	Amount ₹	Particulars	Amount ₹
To Decrease in asset	XX	By Increase in Asset	XX
To Increase in Liability	XX	By Decrease in Liability	XX
To Unrecorded Liability	XX	By Unrecorded Asset	XX
To Profits transferred in Old PSR:*		By Loss transferred in Old PSR:*	
A ---		A ---	
B ---	XX	B ---	XX
To Increase in Asset	XX	By Decrease in asset	XX
To Decrease in Liability	XX	By Increase in Liability	XX
To Unrecorded Asset	XX	By Unrecorded Liability	XX
To Profits transferred in New PSR:#		By Loss transferred in New PSR:#	
A ---		A ---	
B ---	XX	B ---	XX
C ---		C ---	
Total:	**XXXX**	**Total:**	**XXXX**

Any one

Test Your Knowledge & Practice

1. A, B and C are partners sharing profits and losses in the ratio 3:2:1. From 1st April, 2023 they decide to share future profits and losses equally. Calculate the sacrificing ratio.
(Ans: C will compensate A to the extent of his gain i.e. 1/6th of the amount of the future profits)

2. A, B and C were partners sharing profits and losses in the ratio of 3:2:1. On 01.01.2023, they decided that in future they will share profits in the ratio of 2:2:3. Calculate sacrificing ratio and gaining ratio.
(Ans; A and B are sacrificing in 9/42 and 2/42 respectively, however C is gaining 11/42)

3. P, Q & R were partners sharing profits and losses in the ratio of 1:2:2. On 1st April 2023 it was decided that P will get 1/4 of the total profit and remaining share will be taken by Q and R equally. Calculate Sacrificing and gaining ratios.
(Ans: Q and R are sacrificing in 1/40 each, however P is gaining 2/40)

4. X, Y and Z are partners sharing profits and losses in the ratio 2:2:1. From 1st April, 2023 they decide to share future profits and losses equally. Calculate the sacrificing ratio.
(Ans: X and Y sacrifices 1/15 each, however Z gains 2/15)

5. P, Q and R are partners sharing profits equally. They decided that in future R will get 1/5th share in profits and remaining profit will be shared by P and Q equally. On the day of change, firm's Goodwill is valued at ₹ 30,000. Give journal entries arising on account of change in profit-sharing ratio.
(Ans: P's Capital A/c Dr. ₹ 2,000, Q's Capital A/c Dr. ₹ 2,000; R's Capital A/c Cr. ₹ 4,000)

6. X, Y and Z were partners sharing profits and losses in the ratio of 4:3:2. Goodwill does not appear in the books but it is worth ₹ 36,000. The partners decide to share future profits in equal proportions. Give a journal entry to record the above change.
(Ans: Debit Z by ₹ 4,000 and Credit X by ₹ 4,000)

7. A, B and C were partners in a firm sharing profits and losses in the ratio of 3:2:1. In future they decided to share profits in the ratio of 6:5:2. For this purpose, the goodwill of the firm was valued at ₹ 78,000. Pass necessary journal entry for the treatment of goodwill due to change in profit-sharing ratio.
(Ans: Debit B's Capital A/c with ₹ 4,000 and Credit A's Capital A/c and C's Capital A/c with ₹ 3,000 and ₹ 1,000 respectively)

8. A, B and C are partners sharing profits and losses in the ratio of 5:4:1. On 1st January 2023, they decided to share profits and losses equally in future profits. The Goodwill of the firm is valued at ₹ 90,000. Give necessary journal entry.
(Ans: Debit C by ₹ 21,000 and Credit A and B by ₹ 15,000 & ₹ 6,000 respectively)

9. X, Y and Z are partner's sharing profits and losses in the ratio of 5:2:5. On 1st January 2023, they decided to share profits and losses equally in future profits. The goodwill of the firm is valued at ₹ 1,20,000. Give journal entry.
(Ans: Debit Y by ₹ 20,000 and Credit X and Z by ₹ 10,000 each)

10. A, B and C are partners sharing profits equally. They decided that in future C will get 1/5th share in profits and remaining profit will be shared by A and B equally. On the day of change, firm's Goodwill is valued at ₹ 60,000. Give journal entries arising on account of change in profit-sharing ratio.
(Ans: Debit A's Capital A/c and B's Capital A/c with ₹ 4,000 each and credit C's Capital A/c with ₹ 8,000)

11. A, B and C were partners sharing profits equally. On 01.01.2023 they decided to share their future profits in the ratio of 1:2:2. On the same date the firm has a balance of ₹ 30,000 as General Reserve and ₹ 18,000 in Profit and Loss A/c (Dr.) Journalize.
(Ans: Debit General Reserve ₹ 30,000 and Credit Capital A/cs of A, B & C with ₹ 10,000 each; Debit Capital A/cs of A, B & C with ₹ 6,000 each and Credit Profit and Loss A/c with ₹ 18,000)

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12. X, Y and Z are partners sharing profits in the ratio of 5:3:2. On 01.04.2023 they decided to share the profits in the ratio of 2:2:1. On that date following balances were appearing in the Balance Sheet:

Profit & Loss (Cr.)	₹ 15,000
General Reserve	₹ 50,000
Deferred Revenue Expenditure	₹ 10,000

Pass necessary journal entries assuming that partners decided to close the above accounts.
(Ans: Profit & Loss A/c Dr. ₹ 15,000, General Reserve A/c Dr. ₹ 50,000, Cr. X's Capital A/c ₹ 32,500, Cr Y's Capital A/c ₹ 19,500, Cr. Z's Capital A/c ₹ 13,000 and X's Capital A/c Dr. ₹ 5,000, Y's Capital A/c Dr. ₹ 3,000, Z's Capital A/c Dr. ₹ 2,000, Cr. Deferred Revenue Expenditure A/c ₹ 10,000)

13. X, Y and Z are sharing profits and losses in the ratio of 5 :3 :2. They decide to share future profits and losses in the ratio of 2 : 3 : 5 with effect from 1st April, 2023. They also decide to record the effect of the following accumulated profits, losses and reserves without affecting their book values by passing a single entry.

General Reserve	₹ 6,000
Profit & Loss A/c (Cr.)	₹ 24,000
Advertisement Suspense A/c	₹ 12,000

(Ans: Dr. Z's Capital A/c and Cr. X's Capital A/c by—₹ 5,400)

14. X, Y and Z are partners sharing profits and losses in the ratio of 2:2:1 respectively. With effect from 01.04.2023 they decided to share future profits equally. For this purpose, the assets and liabilities were revalued as under:

Particulars	Old Values (₹)	Revised Values (₹)
Machinery	30,000	42,000
Computers	58,000	49,000
Land and Buildings	3,90,000	4,50,000
Sundry Debtors	40,900	50,900
Sundry Creditors	32,800	30,800

Prepare Revaluation Account and give necessary journal entries for recording the above changes in assets and liabilities.
(Ans: Revaluation Profit: A: ₹ 30,000, B: ₹ 30,000 and C: ₹ 15,000)

15. Following is the balance sheet of P, Q and R sharing profits and losses in the ratio 2:2:1.

Liabilities		₹	Assets	₹
Creditors		40,000	Cash	20,000
Bills payable		50,000	Debtors	60,000
Capitals:			Stock	25,000
P	50,000		Buildings	85,000
Q	30,000			
R	20,000	1,00,000		
		1,90,000		**1,90,000**

On 1st April, 2023, the partners decide to share future profits in the ratio 5:3:2 and following revaluations were made:—
(i) Building was to be appreciated by 10%
(ii)15% of debtors were bad.
(iii) A provision for discount on creditors was to be made @ 5%
Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the re-constituted firm.
(Ans: Revaluation Profit: ₹ 1,500; Capital A/cs: P: ₹ 50,600, Q: ₹ 30,600 and R: ₹ 20,300)

16. Ram, Rahim and Karim are partners sharing profits and losses in the ratio 5:3:2. Their Balance Sheet on 31st March, 2023 was as follows:

Liabilities	₹	Assets	₹
Creditors	80,000	Bank	30,000
Bills Payable	65,000	Debtors	55,000
Workmen Comp. Reserve	35,000	Stock	75,000
Capitals		Furniture	30,000

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Ram	75,000		Building	1,20,000
Rahim	45,000		Profit and Loss A/c	20,000
Karim	30.000	1,50,000		
		3,30,000		**3,30,000**

On 1st April, 2023, they decide to share future profits and losses in the ratio 3:2:1 and following adjustments were agreed upon:

a) A provision for bad debt @ 10% is to be made on debtors.
b) Building is to be appreciated by 20%.
c) 15% of stock has been spoiled.
d) Furniture to be decreased by 10%.
e) Goodwill is to be valued at ₹ 1,20,000.

Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the reconstituted firm.
(Ans: Revaluation Profit: ₹ 4,250; Capital A/c's:– Ram: ₹ 84,625, Rahim: ₹ 46,775 and Karim: ₹ 37,850; Total of Balance Sheet: ₹ 3,14,250)

17. A, B and C are partners sharing profits and losses in the ratio of 3:1:1 respectively. With effect from 01.04.2023 they decided to share future profits equally. For this purpose, the following assets and liabilities were revalued as under:

Particulars	**Old values (₹)**	**Revised Values (₹)**
Machinery	1,34,000	45,000
Computers	2,45,800	34,900
Land and Buildings	42,90,000	64,70,000
Sundry Debtors	46,980	50,870
Sundry Creditors	30,870	30,760

Prepare Revaluation Account and give necessary journal entries for recording the above changes in assets and liabilities.
(Ans: Revaluation Profit: ₹ 18,84,100)

18. A, B and C were partners sharing profits and losses in the ratio of 2:2:1. On 01.04.2023 they decided to share the profits equally. The balance sheet as at 31.3.2020 was as under:

Liabilities		**₹**	**Assets**	**₹**
Sundry Creditors		10,000	Cash	2,000
Capitals			Bank	3,000
A	5,000		Debtors	8,000
B	6,000		Stock	5,000
C	7,000	18,000	Machinery	10,000
		28,000		**28,000**

It was decided to revalue assets and liabilities as under:

Stock at	₹ 6,000
Machinery at	₹ 12,000
Sundry Creditors	₹ 9,000

Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the reconstituted firm.
(Ans: Revaluation Profit: ₹ 4,000; Capital A/c's: A: ₹ 6,600, B: ₹ 7,600 and C: ₹ 7,800; Balance Sheet Total: ₹ 31,000)

19. X, Y and Z are partners sharing profits and losses in the ratio of 5:3:2. From 1st April, 2023, they decided to share profits and losses equally. The Partnership Deed provides that in the event of any change in the profit-sharing ratio, the goodwill should be valued at two years' purchase of the average profit of the preceding five years. The profits and losses of the preceding years are:

Year	**2018-19**	**2019-20**	**2020-21**	**2021-22**	**2022-23**
Profit (₹)	70,000	85,000	45,000	35,000	10,000 (Loss)

It is the practice of the firm not to show goodwill in the books. You are required to calculate goodwill and pass Journal entry.
(Ans: Goodwill: ₹ 90,000; Debit Y by—₹ 3,000 and Z by—₹ 12,000; Credit X by—₹ 15,000)

20. X and Y are partners sharing profits in the ratio of 2:1. On 31st March, 2023, their Balance Sheet showed General Reserve of ₹ 60.000. It was decided that in future they will share profits and losses in

the ratio of 3:2. Pass necessary Journal entry in each of the following alternative cases:
(i) If they do not want to show General Reserve in the new Balance Sheet.
(ii) If they want to show General Reserve in the new Balance Sheet.
(Ans: (i) Dr. General Reserve A/c by—₹ 60,000; Cr. X's Capital A/c by—₹ 40,000 and Y's Capital A/c by—₹ 20,000
(ii) X's Sacrifice 1/15; Y's Gain 1/15; Dr. Y's Capital A/c by—₹ 4,000 and Cr. X's Capital A/c by—₹ 4,000]

21. X, Y and Z who are presently sharing profits and losses in the ratio of 5:3:2 decide to share future profits and losses in the ratio of 2:3:5. Give the Journal entry to distribute 'Workmen Compensation Reserve' of ₹ 1,20,000 at the time of change in profit-sharing ratio, when there is no claim against it.
(Ans: Dr. Workmen Compensation Reserve A/c: ₹ 1,20,000, Cr. X's Capital A/c: ₹ 60,000; Y's Capital A/c: ₹ 36,000 and Z's Capital A/c: ₹ 24,000)

22. X, Y and Z who are presently sharing profits and losses in the ratio of 5:3:2 decide to share future profits and losses in the ratio of 2:3:5. Give the Journal entry to distribute 'Workmen Compensation Reserve' of ₹ 1,20,000 at the time of change in profit-sharing ratio, when there is a claim of ₹ 80,000 against it.
(Ans: Dr. Workmen Compensation Reserve A/c: ₹ 1,20,000; Cr. X's Capital A/c: ₹ 20,000; Y's Capital A/c: ₹ 12,000; Z's Capital A/c: ₹ 8,000; and Workmen Compensation Claim A/c: ₹ 80,000)

23. A, B and C who are presently sharing profits and losses in the ratio of 5:3:2 decide to share future profits and losses in the ratio of 2:3:5. Give the Journal entry to distribute 'Investment Fluctuation Reserve' of ₹ 20,000 at the time of change in profit-sharing ratio, when investment (market value ₹ 95,000) appears at ₹ 1,00,000.
(Ans: Dr. Investment Fluctuation Reserve A/c: ₹ 20,000; Cr. A's Capital A/c: ₹ 7,500; B's Capital A/c: ₹ 4,500; C's Capital A/c: ₹ 3,000; and Investment A/c: ₹ 5,000)

24. X, Y and Z are partners in a firm sharing profits and losses as 5:4:3. Their Balance Sheet as at 31st March, 2023 was:

Liabilities	**₹**	**Assets**	**₹**
Sundry Creditors	40,000	Cash at Bank	40,000
Outstanding Expenses	15,000	Sundry Debtors	2,10,000
General Reserve	75,000	Stock	3,00,000
Capital A/cs:		Furniture	60,000
X 4,00,000		Plant and Machinery	4,20,000
Y 3,00,000			
Z 2,00,000	9,00,000		
	10,30,000		**10,30,000**

From 1st April, 2023, they agree to alter their profit-sharing ratio as 4:3:2. It is also decided that:
(a) Furniture be taken at 80% of its value.
(b) Stock be appreciated by 20%.
(c) Plant and Machinery be valued at ₹ 4,00,000.
(d) Outstanding Expenses be increased by ₹ 13,000.
Partners agreed that altered values are not to be recorded in the books and they also do not want to distribute the General Reserve.
You are required to pass a single Journal entry to give effect to the above. Also, prepare revised Balance Sheet
(Ans: Profit on Revaluation: ₹ 15,000. Adjustment for Revaluation and General Reserve: Debit X's Capital A/c and Credit Z's Capital A/c by ₹ 2,500 and Balance Sheet Total: ₹ 10,30,000)

25. Balance Sheet of X and Y sharing profits and losses as 5:3, as at 1st April, 2023 is:

Liabilities	**₹**	**Assets**	**₹**
X's Capital	52,000	Goodwill	8,000
Y's Capital	54,000	Machinery	38,000
General Reserve	4,800	Furniture	15,000
Sundry Creditors	5,000	Sundry Debtors	33,000
Employees' Provident Fund	1,000	Stock	7,000

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Workmen Compensation Reserve	10,000	Bank	25,000
		Advertisement Suspense A/c	800
	1,26,800		**1,26,800**

On the above date, they decided to change their profit-sharing ratio to 3:5 and agreed upon:

(a) Goodwill be valued on the basis of two years' purchase of the average profit of the last three years. Profits for 2020-21: ₹ 7,500; 2021-22: ₹ 4,000; 2022-23: ₹ 6,500.

(b) Machinery and Stock be revalued at ₹ 45,000 and ₹ 8,000 respectively.

(c) Claim on account of workmen compensation is ₹ 6,000.

Prepare Revaluation Account Partners' Capital Accounts and the Balance Sheet of the new firm.

(Ans: Profit on Revaluation: ₹ 8,000; Capital: X: ₹ 60,000; Y: ₹ 54,000; Balance Sheet Total: ₹ 1,26,000)

26. A, B and C are sharing profits and losses in the ratio of 5:3:2. They decided to share future profits and losses in the ratio of 2:3:5 with effect from 1st April, 2023. They also decide to record the effect of the following revaluations without affecting the book value of the assets and liabilities by passing a Single Adjustment Entry:

Account	Book Value (₹)	Revised Value (₹)
Land and Building	5,00,000	5,50,000
Plant and Machinery	2,50,000	2,40,000
Sundry Creditors	60,000	55,000
Outstanding Expenses	60,000	75,000

Pass necessary Single Adjustment Entry.

(Ans: C's Capital Dr. ₹ 9,000 and A's Capital Cr. ₹ 9,000)

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